

BUSINESS OPPORTUNITY SUMMARY

PROJECT RAINMAKER

DCM Insights | First-Pass Investment Screen

Prepared for Rallyday Partners · June 2026

Purpose

Initial screen of a research-backed business development training platform for professional services firms; frames the thesis, fit, and the issues to diligence.

Basis of Preparation

Synthesized from the Fall 2025 CIM, the May 2026 financial model summary, and the customer analysis schedule. Figures are management-reported and unverified.

Status

Preliminary — for internal discussion only. Not investment advice and not a recommendation; subject to confirmatory diligence.

What the business is & why it could be interesting

DCM Insights ("DCMi") — research-backed business development training for professional services firms

In one line: a fast-growing, capital-light training platform that has productized partner-level business development for law, accounting, consulting and search firms — built on proprietary, HBR-published research, monetized through premium cohort programs, and converting to ~45–50% EBITDA margins. The thesis is real; the open question is the **durability and contractual quality** of cohort revenue beyond the first rollout.

COMPANY OVERVIEW	PRODUCT & REVENUE MODEL
- Founded late 2021/2022; sells a repeatable methodology to find, win, retain and grow client relationships, aimed at partners, future partners and BD teams. - Core IP is the Activator Development System, derived from a quantitative study of ~3,000 professional-services partners; positioned as the data-backed successor to relationship-only "trusted advisor" selling (a Challenger-style analogue for professional services). - Originated in law, then diversified — ~45% of 2025 program revenue is now non-law (accounting, consulting, executive search), with a growing UK/Europe mix. - Fully remote; ~20 FTEs plus a ~30-person global faculty bench; leadership concentrated around DC / the US East Coast.	Cohort-based programs (workshops, diagnostics, surveys, group coaching, post-program measurement), tiered by seniority: Partner (~\$4.9k), Pre-Partner (~\$3.9k), Early-Career (~\$1.9k), Partner Enablement (~\$2.9k); a further ~10% price increase is planned. - LTM revenue mix: Activator training ~76%, demand generation ~16%, partnerships ~9%. - Not contractual SaaS, but structurally recurring in practice — firms train successive partner classes, add practices and geographies, and layer coaching/keynotes over a multi-year "Activator firm" journey (the source of the ~147% NRR signal). Capital-light delivery (contractor faculty) drives ~80%+ gross margins; the model's ceiling is faculty capacity and quality control, not capital.
INITIAL INVESTMENT THESIS & FIT WITH RALLYDAY	KEY WATCHOUTS / AREAS TO PROVE
- The business shows strong product-market fit and premium positioning; the durability of cohort revenue and post-rollout expansion are the value-defining variables to validate. People-first, behavior-change model aligns with Rallyday's founder-first orientation and human-capital lens; sits within its tech-enabled business-services and training themes. - Rallyday could add value by institutionalizing GTM, building operating cadence/KPIs, deepening management bench, and supporting selective M&A / partnerships. Value-creation levers: deeper penetration of existing logos (still <1% penetrated), new verticals, broader product suite, international expansion, and pricing.	Forecast achievability: the case needs continued new-logo wins, cohort expansion, sales capacity and faculty availability — all in sync. Revenue quality / "3-year cliff": non-contractual training; validate renewal and re-engagement after the initial multi-year rollout completes. IP & competitive defensibility: the Activator framework must stay differentiated vs. large consultancies and generic sales-training incumbents. Founder / key-person dependence: assess reliance on senior thought leaders for selling, content credibility and delivery; limited buyer universe at exit.

The numbers, the customer base, and what to test first

\$ in millions unless noted; per the May 2026 model summary (management-reported, unaudited)

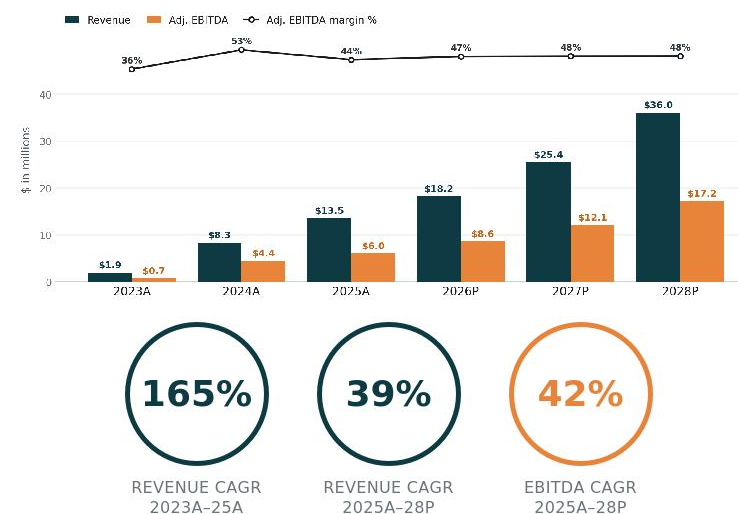
(\$ in millions)	2023A	2024A	2025A	2026P	2027P	2028P	CAGR '25-'28
Total Revenue	\$1.9	\$8.3	\$13.5	\$18.2	\$25.4	\$36.0	38.7%
% growth	–	331%	63%	35%	40%	41%	–
Cost of delivery (COGS)	(0.3)	(1.2)	(2.3)	(3.5)	(5.0)	(7.2)	–
Gross Profit	\$1.6	\$7.0	\$11.2	\$14.7	\$20.4	\$28.9	37.0%
% margin	82.3%	85.1%	82.7%	80.9%	80.3%	80.1%	–
Sales & Marketing	(0.5)	(1.3)	(3.3)	(4.5)	(6.1)	(8.9)	–
General & Admin.	(0.1)	(0.9)	(1.3)	(1.0)	(1.8)	(2.3)	–
Research & Dev.	(0.3)	(0.5)	(0.6)	(0.6)	(0.5)	(0.5)	–
Total Operating Expense	(0.9)	(2.6)	(5.2)	(6.1)	(8.3)	(11.7)	31.2%
EBITDA / Adj. EBITDA	\$0.7	\$4.4	\$6.0	\$8.6	\$12.1	\$17.2	42.1%
% margin	35.7%	53.4%	44.4%	47.3%	47.6%	47.7%	–

COGS shown collapsed (delivery faculty & program cost). Spotlight column = first projected year (2026P). Gross-profit CAGR computed '25A-'28P. Reconcile model vs. CIM, which shows a higher trajectory (~\$17.5m LTM revenue / ~\$9.0m EBITDA, 85% GM) on a different LTM basis.

REVENUE QUALITY & CUSTOMER BASE

- **Scale & breadth:** ~\$17.4m LTM revenue across **87 paying customers** (LTM May-26); ~\$161k average revenue/client and 3,200+ partners trained support an enterprise-adoption story.
- **Concentration — manageable but real:** top 10 = **51%**, top 5 = 37%, largest = ~13% of LTM revenue. Decompose to assess single-account risk.
- **End-market mix:** Law ~53%, Finance/Accounting ~20%, Consulting ~15%, Other ~9%, Search ~4%.
- **Retention:** CIM cites ~147% avg. LTM NRR — but the spike is partly delivery *timing* in a few top-10 accounts; separate true expansion from phasing before underwriting it.

FINANCIAL SNAPSHOT



Rule of 108

2025A GROWTH + MARGIN

Rule of 82

2026P GROWTH + MARGIN

"Rule of X" = revenue growth % + EBITDA margin %. DCMi screens well above the Rule-of-40 bar even as it scales, reflecting rare growth-and-profitability combination — subject to forecast confirmation.

PRIORITY DILIGENCE QUESTIONS

- **Bookings-to-revenue bridge** by cohort, customer, product and delivery month; quantify contracted / visible revenue into 2026P-2027P.
- **Retention & expansion:** cohort performance and NRR by segment, contract terms, and follow-on purchase behavior after the first program.
- **Quality of earnings:** reconcile reported vs. restated vs. adjusted EBITDA; test addback recurrence, owner/founder costs, and revenue-timing effects.
- **Delivery & GTM scalability:** faculty utilization and QA, founder-led vs. sales-led motion, pipeline conversion, and non-law penetration.